CHAPTER 24

Application of Behavioral Finance to Asset Allocation

Successful investing is anticipating the anticipations of others.
—John Maynard Keynes, English economist, 1883 to 1946

What a difference five years makes! In the first edition of the book, I discussed why only a few of the many biases that have been identified in behavioral finance research are used when creating and implementing an asset allocation program with clients and investors. Behavioral finance is coming closer to the mainstream and is being incorporated by financial services firms into the asset allocation process. Take, for example, the following passage from the most recent Merrill Lynch/CapGemini World Wealth Report:

> *Emotional factors are a prominent feature of the HNWI psyche today, and wealth management firms and Advisors must incorporate those emotional factors into stronger portfolio management and risk capabilities so as to properly support client goals and needs. With billions of assets still in motion post-crisis, wealth management firms are embracing change, leveraging key tenets of behavioral finance to rebuild investor trust and confidence and drive further innovation into their offerings and service models.*[1]

The fact that this annual wealth report has recognized behavioral finance so prominently is truly remarkable and evidence that behavioral finance has made tremendous strides (perhaps the first edition helped the cause!). The best part about this development is that it is true! Firms that decide to help their clients by incorporating behavioral finance into the investment process